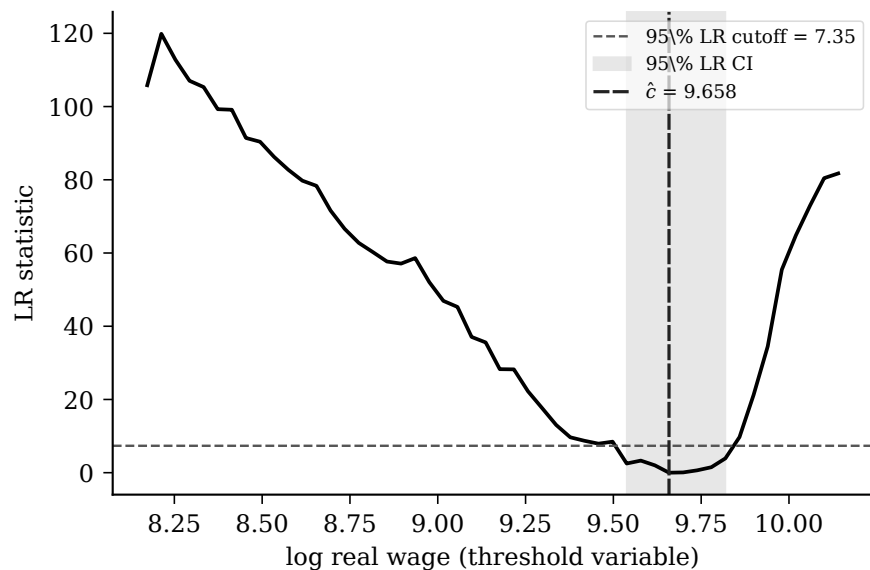


Hansen (1996, 2000) threshold regression: shock decomposition
Panels A-C: log real wage threshold, varying the climate shock. Panel D: GDP per capita threshold (temperature shock).

(A) SPEI shock — headline

$\hat{c} = 9.658$, $p = 0.002$

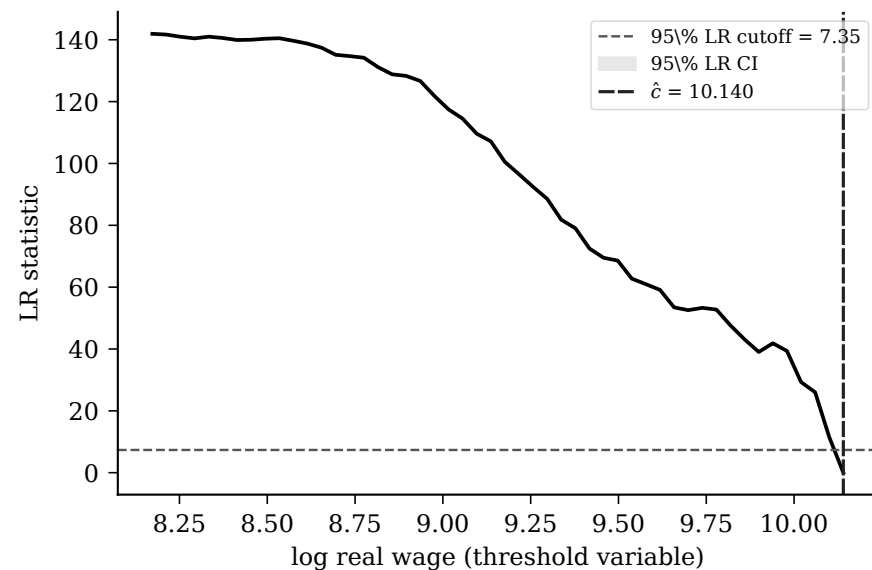
$\hat{\beta}_{<} = -0.024$, $\hat{\beta}_{>} = 0.155$ ($N = 1789$)



(B) Temperature shock

$\hat{c} = 10.140$, $p = 0.002$

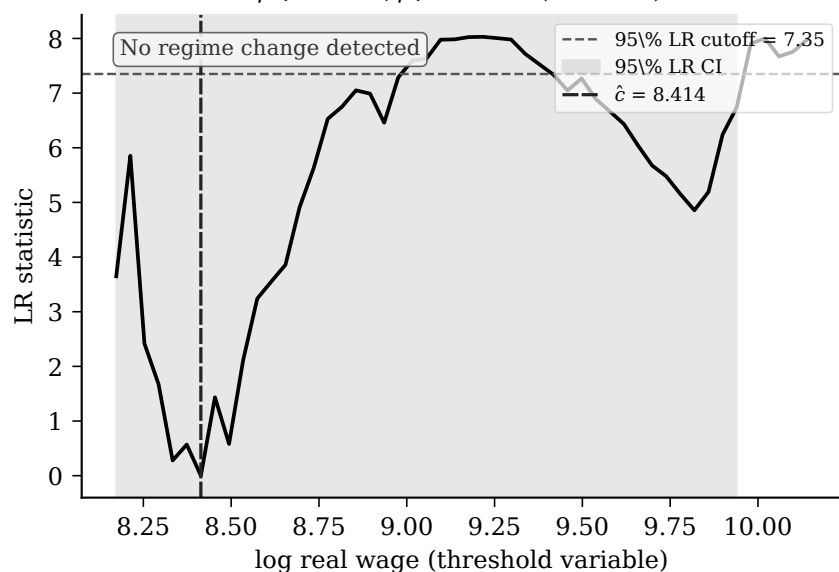
$\hat{\beta}_{<} = -0.060$, $\hat{\beta}_{>} = -0.388$ ($N = 1789$)



(C) Precipitation shock

$\hat{c} = 8.414$, $p = 0.606$

$\hat{\beta}_{<} = 0.008$, $\hat{\beta}_{>} = 0.002$ ($N = 1789$)



(D) Temperature shock / GDP threshold

$\hat{c} = 9.935$, $p = 0.012$

$\hat{\beta}_{<} = -0.098$, $\hat{\beta}_{>} = -0.445$ ($N = 1413$)

